

Before the
UNITED STATES COPYRIGHT OFFICE, LIBRARY OF CONGRESS

Docket No. 2015-8
Section 1201 Study:
Comments of the USC Intellectual Property and Technology Law Clinic

Submitted on March 3, 2016 by:
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The Intellectual Property and Technology Law Clinic (“IPT USC”) respectfully submits these comments in response to the notice of inquiry published December 29, 2015 (“Notice”) by the United States Copyright Office (“Office”) regarding the public study to assess the operation of Section 1201 of Title 17, including the triennial rulemaking process established under the Digital Millennium Copyright Act (“DMCA”) to adopt exemptions to the prohibition against circumvention of technological prevention measures (“TPMs”) that control access to copyrighted works.

In the 2015 Final Rule, the Librarian of Congress (“Librarian”) granted farmers an exemption for the “diagnosis, repair or lawful modification” of mechanized agricultural vehicles, specifically excluding circumvention “on behalf of” vehicle owners.¹ The comments focus on concerns faced by these farmers who, as owners of agricultural machinery, are representative of all who lack the resources and leverage to mount a petition for an exemption on a routine basis, and who remain barred from engaging in non-infringing activities as long as they remain barred from engaging third-party assistance. The following comments address the third and seventh inquiries set forth by the Office, and focus on the need for the rulemaking process to provide for

¹ Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 80 Fed. Reg. 65,944, 65,954–55 (Oct. 28, 2015) (to be codified at 37 C.F.R pt 201).

presumptive renewal of previously granted exemptions and to permit third-party assistance to exemption beneficiaries.

I. Introduction

Despite the fact that the DMCA restrictions strengthened and extended the scope of copyrights through “regulating conduct which traditionally has fallen outside the regulatory sphere of intellectual property law,”² the overarching constitutionally mandated purpose governing copyrights remains to promote the progress of arts and sciences,³ to the benefit of innovation users. As a sector of copyright law, the DMCA rulemaking process should adhere to this guiding purpose. The congressional intent underlying the creation of the Office’s exemption rulemaking proceedings was to protect non-infringing uses of copyrighted works from the adverse effects of the DMCA prohibition.⁴ When addressing the risks that the DMCA posed to copyright users, the House Committee on Commerce expressly affirmed its commitment to maintaining and prioritizing fair use of copyrights.⁵

It is within this context, with the priority of protecting non-infringing uses, that the Office was given its rulemaking responsibility. The rulemaking proceeding was to serve as a “fail-safe mechanism,” ensuring that the DMCA restrictions do not impede upon that ability to engage in non-infringing uses.⁶ Yet, as these comments will show, the current de novo review for exemption renewals and the prohibition of third party-assistance to exemption recipients places too heavy a burden on non-infringing users, effectively allowing the DMCA to restrict the fair use of these copyrights.⁷

II. Recurring Exemptions Should be Presumptively Renewable

A. Current Exemption Renewal Process is Flawed

1. The Disparity of Resources Adversely Impacts Proponents of Exemptions and Renewals

Farmers, blind and visually impaired individuals, medical device safety researchers, film professors, scientists, students, and average American consumers with cell phones and smart

² H.R. REP. NO. 105-551, pt. 2, at 24–25 (1998).

³ U.S. CONST. art. I, §8.

⁴ 17 U.S.C. § 1201(a)(1)(C) (2000).

⁵ H.R. REP. NO. 105-551, at 24–25 (“The Committee considers it particularly important to ensure that the concept of fair use remains firmly established in the law.”).

⁶ *Id.* at 36.

⁷ The history of triennial proceedings has created a record of examples demonstrating both the failure of the current renewal process to effectually protect non-infringing uses, and the obstacle that renewal’s evidentiary burden places on the Office itself in reaching what they believe to be a necessary result. For example, in 2006, despite recognizing the “legal and analytical rationale for this exemption,” the Register failed to renew an exemption for protecting blacklists due to proponents’ failure to produce sufficient evidence. *See* MARYBETH PETERS, REGISTER OF COPYRIGHTS, SECTION 1201 RULEMAKING: THIRD TRIENNIAL PROCEEDING TO DETERMINE EXEMPTIONS TO THE PROHIBITION ON CIRCUMVENTION, RECOMMENDATION OF THE REGISTER OF COPYRIGHTS 68 (Nov. 17, 2006) [hereinafter 2006 Recommendation].

televisions are all among the classes of individuals who seek exemptions and exemption renewals through the Office's rulemaking proceeding.⁸ The complexity of the exemption process forces many to rely on public advocacy groups to help them affect change and to solve the recurring harms they encounter as a result of the DMCA's restrictions.⁹ In particular, farmers face the impractical challenge of seeking renewals for exemptions while simultaneously managing the specific and time-sensitive needs of their farms.¹⁰

Exemption opponents are largely comprised of manufacturers, commercial enterprises, well-funded lobbyist groups, and large corporations representing global industries, which after expending significant resources developing and marketing their products, bring those resources to bear in vehemently opposing any potential impact to their copyright.¹¹ The very nature of the vastly divergent identities of the parties who seek exemptions and exemption renewals inherently tips the scale in favor of those opposing DMCA exemptions.¹²

Adding to this fundamental disparity in resources is the stringent de novo renewal process, which requires proponents to develop a record anew with the same rigor and depth of research required to have the original exemption granted.¹³ The current de novo review of DMCA exemptions places an unreasonable burden on many recipients of the triennial exemptions. The burden on farmers serves as an illustrative example. By forcing farmers to expend their limited resources to continually hire costly legal counsel in order to retain their right to repair their own tractors,¹⁴ the system by default favors the manufacturers' preference and prevents farmers from engaging in non-infringing activities.

⁸ See, e.g., Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 68 Fed. Reg. 62,011 (Oct. 31, 2003) (to be codified at 37 C.F.R. pt 201); Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 71 Fed. Reg. 68,472 (Nov. 7, 2006) (to be codified at 37 C.F.R. pt 201); Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 75 Fed. Reg. 43,825 (July 7, 2010) (to be codified at 37 C.F.R. pt 201); Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 77 Fed. Reg. 65,260 (Oct. 26, 2012) (to be codified at 37 C.F.R. pt 201); Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 80 Fed. Reg. 65,944.

⁹ Fred von Lohmann & Gwen Hinze, *DMCA Triennial Rulemaking: Failing the Digital Consumer*, ELEC. FRONTIER FOUND. 2–4 (Dec. 1, 2005).

¹⁰ See Intellectual Property & Technology Law Clinic, University of Southern California, Long Comment Regarding a Proposed Exemption Under 17 U.S.C. 1201, Class 21, at 13, http://copyright.gov/1201/2015/comments-020615/InitialComments_longform_USC_Class21.pdf [hereinafter USC Long Comment].

¹¹ See sources cited *supra* note 8.

¹² *It's Time to Fix the DMCA*, PUBLIC KNOWLEDGE (Oct. 2015), <https://www.publicknowledge.org/what-people-are-saying-about-reforming-the-dmca> (“In the absence of pro bono representation, it costs tens of thousands of dollars to hire a legal team to apply for each exemption. Which means the process favors Big Copyright interests that have the money (and the lawyers) to spend.”) (quoting Kyle Wiens of iFixit Repair Coalition).

¹³ One public advocacy group documents the reality that results from the renewal's heavy evidentiary burden, “[M]embers of our staff, our colleagues, and our pro bono counsel have poured hundreds of hours of work into a lengthy bureaucratic process that requires us to document and re-document the accessibility of copyrighted works,” Mark Richert, *We Should Not Have to Fight for the Right to Read*, PUBLIC KNOWLEDGE (Jan. 13, 2016), <https://www.publicknowledge.org/news-blog/blogs/we-should-not-have-to-fight-for-the-right-to-read>.

¹⁴ *It's Time to Fix the DMCA*, *supra* note 12.

The overwhelming and recurring investment of time and resources¹⁵ alone deters consumer groups from rightfully exercising their safe and legal ability to engage in non-infringing activity.¹⁶ Placing the burden on parties with limited resources has the potential to stifle their voices and advocacy, effectively creating a structural promotion of “business models that depend upon restricting distribution and availability, rather than upon maximizing it,” the very actuality that Congress sought to prevent by establishing the rulemaking proceedings.¹⁷

2. Requirement of “Current Evidence” for Renewals is Overly Burdensome

Although in 2015 farmers were granted an exemption for the “repair, diagnosis, and lawful modification” of mechanized agricultural vehicles, specifically excluding circumvention “on behalf of” vehicle owners,¹⁸ absent a change in the rulemaking proceeding, these same farmers face an untenable position.

The evidentiary burden on proponents seeking exemption renewals requires a showing of “persuasive, *current*” evidence.¹⁹ This heavy burden fails to take into consideration the greater difficulty proponents seeking exemption renewals face in providing persuasive, current evidence of their harms. If the adopted DMCA exemptions are meaningful and function properly, the exemptions should rectify the harms stemming from the DMCA restrictions. As such, so long as their exemptions are still operable, proponents seeking renewals will not continue to suffer harms at the time they seek renewals. Any evidence they present can only be speculative as to what harm they would face absent the exemption, which squarely opposes the Office’s standard that a proponent’s evidence “may not rely on speculation.”²⁰

The reality of this impossible situation is that having harms acknowledged and ostensibly remedied through the exemption mechanism places exemption renewal proponents at a

¹⁵ Harvard Law School’s Cyberlaw Clinic described their successful exemption proposal on behalf of medical safety device researchers as a “tremendous effort” that “spanned a full calendar year, and involved the help of seven different Clinic students...” Andy Sellars, *DMCA Exemption Granted for Med Device Research, Patient Access to Data*, CYBERLAW CLINIC (Oct. 27, 2015), <http://cyberlawclinic.berkman.harvard.edu/2015/10/27/dmca-exception-granted-for-medical-device-research-patient-access-to-data/>.

¹⁶ The costly legal fees associated with exemption prevented Kyle Wiens of iFixit Repair Coalition from applying to exemptions. (“There are a number of additional products (like hearing aids and wheelchairs) that we wanted to apply for exemptions to repair, but didn’t because we couldn’t afford the legal fees.”) *It’s Time to Fix the DMCA*, *supra* note 12; The Electronic Frontier Foundation refused to submit DMCA exemption proposals for the third triennial proceedings, despite having done so for the first two rulemaking proceedings, due to their belief that the Copyright Office’s complex rulemaking and unfair evidentiary burden distribution is “fundamentally unable to protect the interests of today’s digital media consumers.” Lohmann & Hinze, *supra* note 9, at 1.

¹⁷ H.R. REP. NO. 105-551, pt. 2, at 36 (1998).

¹⁸ Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 80 Fed. Reg. at 65,954–55.

¹⁹ MARIA A. PALLANTE, REGISTER OF COPYRIGHTS, SECTION 1201 RULEMAKING: FIFTH TRIENNIAL PROCEEDING TO DETERMINE EXEMPTIONS TO THE PROHIBITION ON CIRCUMVENTION, RECOMMENDATION OF THE REGISTER OF COPYRIGHTS 7 (Oct. 12, 2012), http://www.copyright.gov/1201/2012/Section_1201_Rulemaking_2012_Recommendation.pdf [hereinafter 2012 Recommendation].

²⁰ *Id.* at 6.

disadvantage when compared to those who are bringing forth new exemption proposals.²¹ Instead of effectively and meaningfully remedying the harms facing proponents²² the renewal process procedurally expresses suspicion as to the genuine need for exemptions, placing a stringent requirement for a new, fully developed record that is impossible to create.²³

The current evidentiary burden for exemption renewals detracts the Office's attention from substantively addressing exemption proposals arising from the use of new technologies by requiring the Office to search for current evidentiary proof that simply may not exist due to the prior exemptions' efficacy.²⁴ The Office is compelled to devote considerable time and effort to consider evidentiary issues in its decision of whether to renew an exemption.²⁵ This effort contradicts the intentions with which the rulemaking proceedings were established, namely to protect non-infringing uses. Maintaining the evidentiary burden for exemption renewal as it stands undermines the purpose that the rulemaking process was originally designed to protect.²⁶

3. Current Process Fails to Provide Predictability

The renewal process as it stands lacks predictability. Farmers may therefore hesitate to invest in new tractors—despite the most recent ruling granting them the ability to diagnose, modify, or repair their vehicle software—because they are unsure as to whether this ruling will stand in the

²¹ Mark Gray, *New Rules for a New Decade: Improving the Copyright Office's Anti-Circumvention Rulemakings*, 29 BERKELEY TECH. L. J. 759, 776 n.105 (2014).

²² 17 U.S.C. § 1201(a)(1)(C) (2000).

²³ The American Foundation for the Blind's continued experience with ebook exemption renewals is just one illustration of this point. In 2006, the Foundation's exemption renewal proposition was accompanied with evidence that was certainly below the "persuasive, current" standard demanded by the Copyright Office, yet despite a "minimal showing at best," the exemption was renewed. Aaron Perzanowski, *Evolving Standards & the Future of the DMCA Anticircumvention Rulemaking*, 10 J. INTERNET L. 1, 12 (2007) ("The American Foundation for the Blind presented a flawed anecdotal survey of the availability of unrestricted ebook titles and offered no evidence of any actual use of the already existing exemption during the prior three year period."). The evidentiary burden would have prevented the renewal of a socially valuable, non-infringing use if the Office hadn't relaxed its renewal standard in this instance. In 2009, the evidentiary burden, once again, almost caused the non-renewal of this non-infringing use. See MARYBETH PETERS, REGISTER OF COPYRIGHTS, SECTION 1201 RULEMAKING: FOURTH TRIENNIAL PROCEEDING TO DETERMINE EXEMPTIONS TO THE PROHIBITION ON CIRCUMVENTION, RECOMMENDATION OF THE REGISTER OF COPYRIGHTS 260 (June 11, 2010), <http://www.copyright.gov/1201/2010/initialed-registers-recommendation-june-11-2010.pdf> [hereinafter 2010 Recommendation].

Despite recognizing that the exemption served a valid, non-infringing use, and accepting the legal and policy reasons underlying the exemption, the Register did not recommend the exemption's renewal due to a lack of "sufficient facts" in the evidentiary record. *Id.*

²⁴ From a statistical standpoint, 50% of the exemptions proposed in 2003, 2006, and 2009 proceedings were renewals. See Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 68 Fed. Reg. at 62,011; Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 71 Fed. Reg. at 68,472; Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 75 Fed. Reg. at 43,825. The added strain of having to review nearly identical evidence for previously renewed exemptions is an inefficient use of the Office's resources, especially when the renewal stands unopposed.

²⁵ The de novo process heavily burdens the Office. As Register Pallante points out, the Office is small in size. She urges an overall need to modernize the Office so it can "operate with greater legal and operational independence." This can only happen if the staff is able to use its resources in a more efficient manner. *Register's Perspective on Copyright Review: Hearing before the H. Comm. On the Judiciary*, 114th Cong. 78 (2015) [hereinafter *Register's Perspective*] (statement of Maria Pallante, Register of Copyrights).

²⁶ Gray, *supra* note 21, at 782.

next proceeding. By engaging in a complex process using a de novo standard every three years, the Office has effectively removed the assurances for farmers and others alike. Affected parties are ultimately at the mercy of the imbalanced de novo process, which demands the impossible from proponents.

Further, the Office has been rather inconsistent in its recommendations, prompting even greater uncertainty amongst exemption proponents. The Office maintains its requirement for “persuasive, current” evidence for exemption renewals,²⁷ but has failed to apply this standard consistently and uniformly.²⁸ The current process ultimately fails to provide a workable standard and contributes to an overall lack of predictability.

4. Current Process is Ill Suited for Software and Technology Industries

In general, the exemption renewal process—with its heavy, one-sided burden—is not suited for certain industries, namely, software and technology. Register of Copyrights Maria A. Pallante has explicitly recognized that difficulties are “most pronounced in the area of information technology,” and has such, worked to “[prioritize] technology concerns” early in her tenure.²⁹ Because this area is fast paced and ever-changing, a de novo review every three years is an inefficient means of promoting innovation, one of the overall goals of copyright law.

The rapid development of agricultural machinery, specifically, serves as evidence that the current process is ill suited for software and technology industries. Farmers now face technological problems that the DMCA has struggled to accommodate. Previously, farm equipment did not require software components; farmers were able to manually fix their tractors through their own hard work and reliance on the agricultural community. However, the days of solving problems through mere “duct tape and baling wire” are over.³⁰ Now, tractors are increasingly run by computer software making them “infinitely more complicated and proprietary.”³¹ While these “elaborate computer systems” afford farmers “precision and predictability” that the industry years ago could not have anticipated, new challenges have arisen just as rapidly.³² The fast-paced nature of the software industry as it applies to agricultural machinery is precisely why farmers needed government intervention to grant the exemption allowing farmers to continue the long-standing practice of repairing their own tractors, by tinker with its software, without facing potential legal consequences.

In addition, an exemption in the area of technology often requires several years for its implications to play out given the complex nature of the industry. The triennial de novo process cuts into that time society needs to make meaningful use of the exemptions. Class 21, for example, will not go into effect for a full year so as to “give government organizations time to

²⁷ 2012 Recommendation, *supra* note 19, at 6.

²⁸ See sources cited *supra* note 23.

²⁹ Register’s Perspective, *supra* note 25, at 14.

³⁰ Kyle Wiens, *New High-Tech Farm Equipment is a Nightmare for Farmers*, WIRED (Feb. 5, 2015, 7:00 AM), <http://www.wired.com/2015/02/new-high-tech-farm-equipment-nightmare-farmers/>.

³¹ *Id.* See also Laura Sydell, *DIY Tractor Repair Runs Afoul of Copyright Law*, NPR (Aug. 17, 2015, 4:20 PM), <http://www.npr.org/sections/alltechconsidered/2015/08/17/432601480/diy-tractor-repair-runs-afoul-of-copyright-law> (last updated Aug. 25, 2015, 8:08 PM).

³² Wiens, *supra* note 30.

adjust.”³³ The exemption will therefore be effective for only two instead of the full three years. The policy underlying the 1201 exemption process will be best served when proponents are able to seeking exemptions needed to address new challenges presented by new technological applications, and to then have time to actually enjoy those benefits.

B. The Copyright Office is Authorized to Adjust Existing Process to Presumptively Renew Exemptions

The Office should not wait for Congressional action to adjust the renewal process. While the Office relies on a Commerce Committee Report to support its conclusion that the rulemaking should be conducted de novo,³⁴ the reliance on this report is misplaced. Notably, the draft of the bill discussed in the Commerce Report differs from the final version of the bill that became the DMCA.³⁵ As enacted, the DMCA does not mandate a standard of review in connection with the renewal of previously granted exemptions.³⁶ Given the statutory silence on renewal procedure, as well as principles of administrative law, statutory interpretation, and policy considerations, the Office has substantial support to justify exercising its discretion to presumptively renew exemptions.

1. The Ability to Adjust the Rulemaking Process is Within the Office’s Administrative Powers

Unilateral action by the Office is appropriate because it would further the policy objectives of administrative law. When Congress confers rulemaking authority, as it conferred to the Office, it does so to “facilitate[] the continuous operation of the national government by allowing Congress, when enacting a statute, to remove itself from the task of predetermining possible problems that may later arise.”³⁷ Specifically, Congress will grant “rulemaking authority” to an administrative body as a form of “legislative power.”³⁸

Supreme Court precedent supports the proposition that administrative agencies has the benefit of broad discretion in deciding how to conduct its their own rulemaking proceedings. In *Vermont Yankee Nuclear Power Corp. v. Natural Resources Defense Council, Inc.*, the Court held that the Atomic Energy Commission did not exceed its statutory authority due to inadequate rulemaking when it granted a license to operate a nuclear power plant.³⁹ The Court emphasized that it would not be proper to “explore the procedural format or to impose upon the agency its own notion of which procedures are ‘best’ or most likely to further some vague, undefined public good.”⁴⁰

Here, the Office, on behalf of the Library of Congress, is in a better position than Congress to structure the rulemaking process for exemptions to the DMCA. Renewals of exemptions, in

³³ Kyle Wiens, *We Won Exemptions for Repairing Tractors, Cars, and Tablets*, IFIXIT (Oct. 27, 2015), <https://ifixit.org/blog/7475/repair-coalition-wins-exemptions/>.

³⁴ See, e.g., 2012 Recommendation, *supra* note 19, at 5 n.22.

³⁵ Gray, *supra* note 22, at 582.

³⁶ See 17 U.S.C. § 1201(a)(1)(C) (2015).

³⁷ 3-13 ADMINISTRATIVE LAW § 13.01 (Matthew Bender & Co. 2015).

³⁸ *Id.*

³⁹ *Vermont Yankee Nuclear Power Corp. v. Nat. Res. Def. Council, Inc.*, 435 U.S. 519 (1978).

⁴⁰ *Id.* at 549.

particular, are exactly the type of fringe issue that Congress would not be expected to fully contemplate *ex ante*. The Office has, over time, expanded its discretion over rulemaking details to compensate for the statute's lack of direction,⁴¹ and should continue to do so in light of the current need for clarity surrounding the renewal process. Like the Atomic Energy Commission's evidence-gathering process in *Vermont Yankee*, the DMCA rulemaking procedures are an administrative responsibility into which a court would likely not intrude.

Additionally, enabling the Office to structure the rulemaking process will provide the flexibility that the DMCA demands. The anti-circumvention provision, by allowing an exemption process, was meant to "monitor developments in the marketplace"⁴² in order to "temper the categorical reach of the basic provision."⁴³ This objective will be more fully addressed when the Office is better able to respond to the needs of the real world as they arise. Currently, the *de novo* review's burden on farmers exemplifies the sort of procedural failure that the Office is authorized to remedy. For farmers, the decision to invest in crucial new equipment often hinges on their ability to self-repair.⁴⁴ Absent an adjustment to the rulemaking process, the exemption granted in 2015 must be continually renewed, will provide only limited relief.

2. *The DMCA's Silence on Standard of Review for Renewals Should be Interpreted as Deference to the Copyright Office*

The Office has maintained a longstanding position that it must conduct rulemaking reviews *de novo* because that standard was mentioned in a Commerce Committee Report on legislation that eventually resulted in the DMCA.⁴⁵ In this case, however, legislative history should not control the standard of review with binding authority.

Register Pallante referenced the committee report in an effort to yield meaning from the DMCA beyond the language of the statute. But extrinsic materials, such as legislative history, "have a role in statutory interpretation only to the extent they shed a reliable light on enacting Legislature's understanding of otherwise ambiguous terms."⁴⁶ The statute itself provides the "authoritative statement."⁴⁷ Analyzing the statements of various politicians within legislative history is often unreliable because, among other shortcomings, it devolves into "an exercise in 'looking over a crowd and picking out your friends.'"⁴⁸

⁴¹ Gray, *supra* note 21, at 764.

⁴² H.R. REP. NO. 105-551, pt. 2, at 36 (1998).

⁴³ 3-12 MELVILLE B. NIMMER AND DAVID NIMMER, NIMMER ON COPYRIGHT § 12A.03(A)(2)(a).

⁴⁴ See USC Long Comment, *supra* note 10, at 16 ("Farmers make their purchase decisions based on whether or not the OEMs allows users to flash new software themselves.").

⁴⁵ The Commerce Committee Report was cited by Register Peters in 2003 and again by Register Pallante in 2012. See MARYBETH PETERS, REGISTER OF COPYRIGHTS, SECTION 1201 RULEMAKING: FOURTH TRIENNIAL PROCEEDING TO DETERMINE EXEMPTIONS TO THE PROHIBITION ON CIRCUMVENTION, RECOMMENDATION OF THE REGISTER OF COPYRIGHTS 25 n.50 (Oct. 27, 2003), <http://www.copyright.gov/1201/docs/registers-recommendation.pdf> [hereinafter 2003 Recommendation]; 2012 Recommendation, *supra* note 19, at 5 n.22.

⁴⁶ *Exxon Mobil Corp. v. Allapattah Servs.*, 545 U.S. 546, 568 (2005).

⁴⁷ *Id.*

⁴⁸ *Id.* (quoting Patricia M. Wald, *Some Observations on the Use of Legislative History in the 1981 Supreme Court Term*, 68 IOWA L. REV. 195, 214 (1983)).

The Congressional intent was to grant deference to the rulemaking authority embodied in the Office and the Librarian. Reliance upon this Commerce Committee report is misguided; the plain language of the statute expresses that the Librarian “shall make the determination [of DMCA exemptions] in a rulemaking proceeding.”⁴⁹ The statute does not restrict the Office’s authority to choose an evidentiary standard for exemptions, much less the standard as applied to renewals, so it is unnecessary to conjure any such standard using extrinsic evidence. Even the substantive aspects of the rulemaking as laid out in the DMCA defer to the Librarian’s authority, adding a catch-all of “other such factors as the Librarian considers appropriate.”⁵⁰ As stated in *Vermont Yankee*, an administrative body acts properly as long as it “employ[s] at least the statutory *minima*,” even if the body goes beyond the statute by filling in gaps left by silence on “procedural devices.”⁵¹

The Commerce Committee report is also undeserving of influence due to the fact that the report’s discussion of the exemption process is not consistent with the DMCA as enacted. For example, the report stated that rulemaking proceedings would occur on a “biennial basis,”⁵² which was later changed to a triennial basis in the bill’s final version. Since the Commerce Report discussed a different version of the bill, prior to reconciliation by the House and Senate,⁵³ the report is not a trustworthy source for guidance on the rulemaking procedure.

Even if the Commerce Report had merit for statutory interpretation, it would show that presumptive renewal of DMCA exemptions is “consistent with the intent of Congress.”⁵⁴ The report states the purpose of the DMCA to prevent “the adoption of business models that depend upon restricting distribution and availability, rather than upon maximizing it.”⁵⁵ Shifting the burden of proof to opponents seeking to nullify existing exemptions would serve that goal. In particular, farm equipment manufacturers that opposed the 2015-granted exemption for self-repair of motor vehicles seek to “restrict[] distribution and availability” of repair services by excluding all other parties from being authorized repairers.⁵⁶

III. Rulemaking Process Should Permit Third-Party Assistance to Exemption Beneficiaries

With respect to agricultural machinery in the 2015 Final Rule, the Librarian’s ruling allows “only the farmer, and not her mechanic, could tinker with the software.”⁵⁷ The exemption allows

⁴⁹ 17 U.S.C. § 1201(a)(1)(C) (2015).

⁵⁰ *Id.* § 1201(a)(1)(C)(v).

⁵¹ *Vermont Yankee Nuclear Power Corp. v. Nat. Res. Def. Council, Inc.*, 435 U.S. 548 (1978).

⁵² H.R. REP. NO. 105-551, pt. 2, at 37 (1998).

⁵³ Gray, *supra* note 21, at 782.

⁵⁴ *Id.* at 781.

⁵⁵ H.R. REP. NO. 105-551, at 36.

⁵⁶ Wiens, *supra* note 32 (arguing that Deere opposes the DMCA exemption because “the dealer-repair game is just too lucrative for manufacturers to cede any control back to farmers”).

⁵⁷ Kyle Wiens, *Before I Can Fix This Tractor, We Have to Fix Copyright Law*, SLATE: FUTURE TENSE (Jan. 13, 2016, 8:57 AM), http://www.slate.com/blogs/future_tense/2016/01/13/copyright_law_shouldn_t_keep_me_from_fixing_a_tractor.html.

individuals to circumvent TPMs in their agricultural machinery, but prohibits the use of third-party assistance to do so.⁵⁸

As many farmers lack the requisite technical knowledge to circumvent this software, the exemption falls short of providing a meaningful solution to a serious problem.⁵⁹ Historically, farmers could repair their broken machines either on their own or through the help of local mechanics.⁶⁰ However, the complex software embedded in modern agricultural machinery renders such self-sufficiency impossible for most farmers.⁶¹ As a result, when a farmer's tractor breaks down, the farmer is forced to take the tractor back to the farm equipment manufacturer.⁶² This can place an immense burden on the farmer, both financially and logistically.⁶³

The exemption fails to address the reality that many farmers remain unable to repair their tractors, without risking potential legal consequences.⁶⁴ As it stands, farmers who are unable to circumvent the TPMs on their own are not able to hire any "computer savvy person" other than the farm equipment manufacturer to perform technological repairs on their machinery pursuant to the current exemption.⁶⁵ This mirrors the sentiment repeatedly expressed by the American Foundation of the Blind during previous rulemaking proceedings.⁶⁶ As many individuals with visual disabilities cannot circumvent TPMs on their own, they are virtually unable to benefit from the exemption without seeking third party assistance.⁶⁷ Accordingly, third parties must be able to offer lawful circumvention services for certain exemption "to reach the majority of its beneficiaries."⁶⁸

In excluding circumvention by third parties "on behalf of" vehicle owners, the Librarian expressed a concern that allowing third party circumvention activities "is in tension with the anti-trafficking provisions of Section 1201(a)(2) and (b)."⁶⁹ Proponents of the exemption have argued that many such repair services "do not fall under any of the three categories of forbidden

⁵⁸ Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 80 Fed. Reg. at 65,954 (explaining that the exemption allows circumvention for the "repair, diagnosis, and lawful modification" of mechanized agricultural vehicles, specifically excluding circumvention "on behalf of" vehicle owners).

⁵⁹ USC Long Comment, *supra* note 10, at 21 (Exhibit 3, timestamp 10:34 to 11:42).

⁶⁰ Drew Douglas, *Copyright Law Restricting Tractor Repairs is Being Reconsidered*, KY3 (Aug. 20, 2015, 6:37 PM), http://www.ky3.com/news/local/copyright-law-restricting-tractor-repairs-is-being-reconsidered/21048998_34832628.

⁶¹ *Id.*

⁶² Douglas, *supra* note 60.

⁶³ USC Long Comment, *supra* note 10, at 21 (Exhibit 3, timestamp 2:14 to 3:10).

⁶⁴ Wiens, *supra* note 30.

⁶⁵ USC Long Comment, *supra* note 10, at 21 (Exhibit 5, timestamp 13:08 to 15:05 and 30:00 to 31:12).

⁶⁶ *Hearing Before the Subcomm. on Courts, Intellectual Prop., and the Internet of the H. Comm. on the Judiciary*, 113th Cong. 19 (2014) (statement of Mark Richert, Director of Public Policy, American Foundation for the Blind).

⁶⁷ *Id.*

⁶⁸ Electronic Frontier Foundation, Comments In the matter of Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies Under 17 U.S.C. 1201, Class 21, at 25, http://copyright.gov/1201/2015/comments-020615/InitialComments_longform_EFF_Class21.pdf [hereinafter "EFF Comments"].

⁶⁹ Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 80 Fed. Reg. at 65,954.

conduct identified in 1201(a)(2)(A) through (C).”⁷⁰ Additionally, as the freedom to repair one’s vehicle has historically been permissible and also within the bounds as fair use, repair services “do not constitute a service barred by 1201(a)(2), even if they engage in circumvention as part of offering their services.”⁷¹).⁷²

Furthermore, current exemptions permitting “jailbreaking” of mobile computing devices and ‘smart televisions’ do not explicitly exclude third parties or limit this activity to the owners of the software or hardware.⁷³ In many instances, jailbreaking inevitably requires the assistance of third parties; for example, when a cell phone owner uses a “provider of a commercial mobile radio service or a commercial mobile data service” to unlock the phone.⁷⁴ Similarly, farmers should be able to obtain third party assistance to circumvent TPMs on their agricultural machinery for the narrow purposes of diagnosis and repair. Evidence suggests that prohibiting “in-house farm mechanics” from accessing the TPM-protected software restricts the ability of farmers to take preventative measures that can deter larger problems with their machinery. If Section 1201 is intended to allow exemption beneficiaries to circumvent TPMs for narrowly defined uses that do not infringe on copyright, then barring third-party assistance effectively prohibits non-infringing activities in specific instances.⁷⁵ This unnecessary limitation not only undermines the exemption’s usefulness; it fails to serve the intention of the DMCA and the rulemaking process.⁷⁶

A. The Copyright Office is Authorized to Permit Third-Party Assistance

Not surprisingly, the restrictions limiting the reach of the 2015 exemptions were not well received by advocates for consumer rights.⁷⁷ In light of these concerns, the Office is currently evaluating whether Section 1201 should be clarified to ensure that “intended beneficiaries of exemptions are able to engage in the permitted circumvention activities,” without contradicting the anti-trafficking provisions of Section 1201.⁷⁸ Considering the intended role of the Office in the rulemaking process and its demonstrated interest in tailoring “exemptions to the specific harm they are intended to address,” the Librarian possesses the authority and discretion to expressly allow third parties to engage in permitted circumvention activities.⁷⁹

Following Congress’s decision to pass the Unlocking Act in 2014, which amended Section 1201 to allow cell phones and other devices to be unlocked by third parties “at the direction of” device

⁷⁰ EFF Comments, *supra* note 68, at 25.

⁷¹ *Id.*

⁷² *Id.*

⁷³ Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 80 Fed. Reg. at 65,952–53 (“Jailbreaking . . . is the process of gaining access to the operating system of a computing device.”).

⁷⁴ See Unlocking Consumer Choice and Wireless Competition Act, 113 Pub. L. No. 144, § (c)(1)(B)(2), 128 Stat. 1751, 1752 (2014).

⁷⁵ USC Long Comment, *supra* note 10, at 21 (Exhibit 4, timestamp 9:37 to 13:27).

⁷⁶ The DMCA is intended to prevent “the adoption of business models that depend upon restricting distribution and availability, rather than upon maximizing it.” H.R. REP. NO. 105-551, pt. 2, at 36 (1998).

⁷⁷ See *It’s Time to Fix the DMCA*, *supra* note 12.

⁷⁸ Section 1201 Study: Notice and Request for Public Comment, 80 Fed. Reg. 81,369, 81,372 (Dec. 29, 2015), <http://copyright.gov/fedreg/2015/80fr81369.pdf>.

⁷⁹ Gray, *supra* note 21, at 775.

owners,⁸⁰ the Librarian has suggested that this change should be effected not by the Office, but through legislation.⁸¹

The Librarian interpreted Congress's decision to pass the Unlocking Act as an indication of Congress's view that extending an exemption to cover third-party actors "requires a legislative amendment."⁸² Congress likely included third parties in the Unlocking Act to alleviate the serious concern that the Unlocking Act would exclude companies helping individuals to unlock their phones,⁸³ especially in light of the prior exemption's limitation to the owner of the computer program copy.⁸⁴ Congressional action to modify a previous exemption on this particular occasion does not establish that extending an exemption to cover third-party actors *requires* legislation, and should not be viewed as the primary vehicle for change.

Additionally, the Unlocking Act "directs the Librarian of Congress to consider as part of the current triennial proceeding whether to 'extend' the cell phone unlocking exemption 'to include any other category of wireless devices in addition to wireless telephone handsets' based upon the Register's recommendation."⁸⁵ This provision does not alter or expand the Librarian's authority to grant exemptions under Section 1201(a)(1), but merely directs the Librarian to exercise his existing regulatory authority to consider the adoption of an exemption for other wireless devices.⁸⁶ In fact, both legislative houses have stated in their reports that the Act did not alter Section 1201(a)(2) or 1201(b).⁸⁷ Nor does it alter the rulemaking authority of the Librarian.⁸⁸ Thus, extending an exemption for use by third parties with the permission of the owner "would be consistent with Congress's directive in the Unlocking [Act],"⁸⁹ as well as the Congressional intent underlying the DMCA.⁹⁰

Despite the ambiguity and lack of clarity surrounding the DMCA rulemaking proceedings, the Librarian has balanced delicate interests to approve a steadily-increasing number of exemptions

⁸⁰ Unlocking Consumer Choice and Wireless Competition Act § 2(c)(1)(B).

⁸¹ Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 80 Fed. Reg. at 65,954.

⁸² *Id.*

⁸³ Mike Masnick, *Library Of Congress Releases DMCA Anti-Circumvention Exemptions... and It's a Hot Mess*, TECHDIRT (Oct. 27, 2015, 10:38 AM), <https://www.techdirt.com/articles/20151027/10131232649/library-congress-releases-dmca-anti-circumvention-exemptions-hot-mess.shtml>.

⁸⁴ USC Long Comment, *supra* note 10, at 16-17.

⁸⁵ MARIA A. PALLANTE, REGISTER OF COPYRIGHTS, SECTION 1201 RULEMAKING: FIFTH TRIENNIAL PROCEEDING TO DETERMINE EXEMPTIONS TO THE PROHIBITION ON CIRCUMVENTION, RECOMMENDATION OF THE REGISTER OF COPYRIGHTS 13 (Oct. 2015).

⁸⁶ *Id.*

⁸⁷ S. REP. NO. 113-212, at 7 (2014) ("Nor does this bill affect the scope and applicability of other aspects of Section 1201, including the prohibitions of Sections 1201(a)(2) and 1201(b), which remain critical components of the DMCA."); H. REP. NO. 113-356, at 9 (2014) ("Nothing in this Act is intended to serve as a limitation on section 1201(a)(2) or section 1201(b), which remain critical to the effectiveness of Chapter 12 of Title 17 and are in no way altered or modified by the provisions of this legislation.").

⁸⁸ S. REP. NO. 113-212, at 7 ("The legislation does not alter the authority of the Librarian of Congress under Section 1201(a)(1) to engage in the rulemaking process created by the DMCA.").

⁸⁹ EFF Comments, *supra* note 68, at 25.

⁹⁰ H.R. REP. NO. 105-551, pt. 2, at 36 (the DMCA is intended to prevent "the adoption of business models that depend upon restricting distribution and availability, rather than upon maximizing it").

over the past seventeen years.⁹¹ In granting the 2006 exemptions, the Librarian acknowledged “it can be appropriate to refine a class by reference to the use or user in order to remedy the adverse effect of the prohibition and to limit the adverse consequences of an exemption.”⁹² While defining a proposed class did not necessarily require the Office to address third-party assistance, the Office’s action in clarifying how the Office defined a class is particularly illustrative.⁹³ This suggests the Office has the inherent authority to determine the scope of each particular exemption, and to whom this right should be extended when “confronted with clear evidence of a legitimate non-infringing use.”⁹⁴

In sum, expanding an exemption to apply to third parties is unlikely to be in tension with Section 1201(a)(2) and 1201(b), and the power to expressly permit third party assistance is likely already within the scope of the authority granted to the Librarian.

B. Absent action by Copyright Office, Congress Should Amend Rulemaking Process to Expressly Allow Exemptions Permitting Third-Party Assistance

The Office is authorized to recommend exemptions that permit third party assistance when justified by the record to ensure that the rulemaking process continues to serve as “a barometer for policy concerns and policy action beyond the confines of the statute.”⁹⁵ Should the Office continue to exclude third party assistance from its recommendations, Congress should amend the rulemaking process to expressly allow the Office to recommend exemptions that permit third party assistance.

As discussed, the need to allow certain exemptions to include third party assistance is particularly salient in regard to the 2015 exemption yet preventing third parties from providing assistance “on behalf of” the owners. As most farmers rely upon third parties to diagnose and repair their technologically complex agricultural machinery, there is often no feasible alternative to third party circumvention.⁹⁶ Due to the inefficiencies of the rulemaking process as it stands, even when an exemption is granted, it has “been whittled down by the Copyright Office until it’s so narrow as to become functionally useless.”⁹⁷

Ultimately, the DMCA exemption process should not stand as a threat to those who seek to use protected works for non-infringing purposes.

⁹¹ Maryna Koberidze, *The DMCA Rulemaking Mechanism: Fail or Safe?*, 11 WASH. J.L. TECH. & ARTS 211, 272 (2015).

⁹² 2006 Recommendation, *supra* note 7, at 19.

⁹³ *Id.*

⁹⁴ Koberidze, *supra* note 91, at 767.

⁹⁵ Maria A. Pallante, *The Next Great Copyright Act*, 36 COLUM. J.L. & ARTS 315, 331 (2013).

⁹⁶ EFF Comments, *supra* note 68, at 25 (“Many individuals do [not] possess the resources to circumvent on their own.”).

⁹⁷ Wiens, *supra* note 57.